

Circular P-05 — Revised Remuneration Policy — Bonus Deferral and Clawback Periods

Reference:	FRA/P/2025/005	Issue Date:	01 May 2025
Effective Date:	01 Jan 2026	Response Deadline:	30 Sep 2025
Issuing Authority:	Financial Regulatory Authority	Classification:	MANDATORY

1. Policy Change

The Authority is extending mandatory bonus deferral and clawback periods for Material Risk Takers (MRTs). Deferral period extended from 3 to 5 years for all MRTs and from 5 to 7 years for Senior Management and Executive Directors. Clawback period extended from 7 to 10 years. This supersedes Circular FRA/P/2021/004 in its entirety.

2. Vesting Schedule

Deferred variable remuneration must vest no faster than pro-rata over the deferral period. Cliff vesting is prohibited. A minimum of 50% of variable remuneration for MRTs must be in the form of instruments (shares or equivalent) rather than cash.

3. Performance Adjustment

Malus (reduction of unvested awards) must be applied automatically where the firm incurs a regulatory financial penalty exceeding USD 1 million or where the individual is subject to a performance improvement plan. Board discretion is removed — application of malus is mandatory in these circumstances.

4. Implementation

Updated remuneration policies must be approved by the Board Remuneration Committee and submitted to the Authority by 30 Sep 2025. The new policy must apply to all remuneration awards made on or after 1 Jan 2026.